Ch. 14 HW #2 Pt. 2

Instructions

This is not the entirety of Ch. 14 HW #2. This is just a portion of the assignment that we started in class.

Quick Quiz

1. A firm is producing 1,000 units at a total cost of $5,000. When it increases production to 1,001 units, its total cost rises to $5,008. For this firm,

   (a) marginal cost is $5, and average variable cost is $8.

   (b) marginal cost is $8, and average variable cost is $5.

   (c) marginal cost is $5, and average total cost is $8.

   (d) marginal cost is $8, and average total cost is $5.

2. A firm is producing 20 units with an average total cost of $25 and a marginal cost of $15. If it increases production to 21 units, which of the following must occur?

   (a) Marginal cost will decrease.

   (b) Marginal cost will increase.

   (c) Average total cost will decrease.

   (d) Average total cost will increase.

3. The government imposes a $1,000 per year license fee on all pizza restaurants. As a result, which cost curves shift?

   (a) average total cost and marginal cost

   (b) average total cost and average fixed cost

   (c) average variable cost and marginal cost

   (d) average variable cost and average fixed cost

Problems and Applications

1. This chapter discusses many types of costs: opportunity cost, total cost, fixed cost, variable cost, average total cost, and marginal cost. Fill in the type of cost that best completes each sentence:

   (a) What you give up in taking some action is called the _____.

   (b) _____ is falling when marginal cost is below it and rising when marginal cost is above it.

   (c) A cost that does not depend on the quantity produced is a(n) _____.

(d) In the ice-cream industry in the short run, _____ includes the cost of cream and sugar but not the cost of the factory.

(e) Profits equal total revenue minus _____.

(f) The cost of producing an extra unit of output is the _____.

2. Nimbus, Inc. makes brooms and sells them door-to-door. Here is the relationship between the number of workers and Nimbus's output during a given day:

Workers	Output	Marginal Product	Total Cost	Average Total Cost	Marginal Cost
0	0				
1	20				
2	50				
3	90				
4	120				
5	140				
6	150				
7	155				

(a) Fill in the column of marginal products. What pattern do you see? How might you explain it?

(b) A worker costs $100 a day, and the firm has fixed costs of $200. Use this information to fill in the column for total cost.

(c) Fill in the column for average total cost. What pattern do you see?

(d) Now fill in the column for marginal cost. What pattern do you see?

(e) Compare the column for marginal product with the column for marginal cost. Explain the relationship.

(f) Compare the column for average total cost with the column for marginal cost. Explain the relationship.

3. You are the chief financial officer for a firm that sells gaming consoles. Your firm has the following average-total-cost schedule:

Quantity	Average Total Cost
600 consoles	$300
601	301

Your current level of production is 600 consoles, all of which have been sold. Someone calls, desperate to buy one of your consoles. The caller offers you $550 for it. Should you accept the offer? Why or why not?